


The function of the committee is to examine the annual audit reports of the Comptroller and Auditor General of India (CAG), which are laid before the Parliament by the President. The CAG submits three audit reports to the President, namely, audit report on appropriation accounts, audit report on finance accounts and audit report on public undertakings.

The committee examines public expenditure not only from legal and formal point of view to discover technical irregularities but also from the point of view of economy, prudence, wisdom and propriety to bring out the cases of waste, loss, corruption, extravagance, inefficiency and nugatory expenses.

In more detail, the functions of the committee are:

1. To examine the appropriation accounts and the finance accounts of the Union government and any other accounts laid before the Lok Sabha. The appropriation accounts compare the actual expenditure with the expenditure sanctioned by the Parliament through the *Appropriation Act*, while the finance accounts shows the annual receipts and disbursements of the Union Government.

2. In scrutinising the appropriation accounts and the audit report of CAG on it, the committee has to satisfy itself that

**(a)** The money that has been disbursed was legally available for the applied service or purpose

**(b)** The expenditure conforms to the authority that governs it

**(c)** Every re-appropriation has been made in accordance with the related rules

3. To examine the accounts of state corporations, trading concerns and manufacturing projects and the audit report of CAG on them (except those public undertakings which are allotted to the Committee on Public Undertakings)

4. To examine the accounts of autonomous and semi-autonomous bodies, the audit of which is conducted by the CAG

5. To consider the report of the CAG relating to the audit of any receipt or to examine the accounts of stores and stocks

6. To examine the money spent on any service during a financial year in excess of the amount granted by the Lok Sabha for that purpose

In the fulfillment of the above functions, the committee is assisted by the CAG. In fact, the CAG acts as a guide, friend and philosopher of the committee.

On the role played by the committee, Ashok Chanda (who himself has been a CAG of India) observed: “Over a period of years, the committee has entirely fulfilled the expectation that it should develop into a powerful force in the control of public expenditure. It may be claimed that the traditions established and